PURPOSE CAPITAL
Guiding Capital with Purpose

POLICY · RISK

Transaction Commitment and Approval Policy

Version **0.9** DRAFT

Owner	Chief Executive Officer
Next review	12 months after adoption
Confidentiality	Internal

DRAFT

Purpose Capital S.A.
Rue Joseph Essono Balla, Elig-Essono, Yaoundé (Cameroun)

Courtesy translation — the French version prevails.
Issued on 12 November 2026

Document control sheet

Courtesy translation — the French version prevails.

Version	0.9 — Draft		
Title	Transaction Commitment and Approval Policy		
Type · domain	Policy · Risk	**Confidentiality**	Internal
Owner	Chief Executive Officer		
Distribution	No mandatory reading designated		
Effective date	On adoption	**Next review**	12 months after adoption

APPROVAL WORKFLOW

Step	Function	Electronic sign-off	Handwritten signature
Drafting	Compliance Officer	Pending	Date and signature
Approval	Chief Executive Officer	Pending	Date and signature
Adoption by the Board of Directors	Chairman of the Board of Directors	Pending	Date and signature

REVISION HISTORY

Version	Date	Purpose	By
0.9	10 November 2026	Minor amendment	Compliance Officer
0.9	20 October 2026	Initial draft	Compliance Officer

REFERENCE TEXTS

COSUMAF General Regulation of 23 May 2023 Official text · cosumaf.org	Prudential standards set by COSUMAF (Art. 11); compliance and internal control function (Art. 13); prior approval of changes to the business plan (Art. 77); identification of clients before onboarding (Art. 94); retention of documents for ten years (Art. 105); identity of the guarantors and lead manager in the information memorandum (Art. 131)
Regulation No. 01/22/CEMAC/UMAC/CM/COSUMAF of 21 July 2022 Official page · cosumaf.org	Obligations of intermediaries on the regional financial market; primacy of clients' interests; organisation and internal control
OHADA Uniform Act on Commercial Companies and Economic Interest Groups (AUSCGIE) Official page · ohada.org	Respective powers of the Board of Directors and the Chief Executive Officer of the public limited company (société anonyme); prior authorisation by the Board of sureties, endorsements and guarantees; internal limitations of powers not enforceable against third parties; related-party agreements (Art. 438 et seq.)
Regulation No. 02/24/CEMAC/UMAC/CM of 20 December 2024 Overview · droitmediasfinance.com	Enhanced due diligence and approval by a member of senior management before onboarding a politically exposed person or a high-risk client

DRAFT

COSUMAF AML/CFT Guidelines (September 2025) Overview · droitmediasfinance.com	Risk-based approach and enhanced due diligence applied by participants in the regional financial market
IOSCO — Objectives and Principles of Securities Regulation Official text · iosco.org	International good practice: capital, internal control and risk management of market intermediaries
Basel Committee — Revisions to the Principles for the Sound Management of Operational Risk (2021) Official text · bis.org	International good practice: approval of new products, activities, processes and systems (change management)
COSO — Internal Control — Integrated Framework (2013)	International framework: control activities — authorisations, approvals and segregation of duties
ICMA — Primary Market Handbook and model agreements between lead managers and syndicate members Official page · icmagroup.org	International practice: firm underwriting and syndication commitments, responsibilities of the lead manager and members

DRAFT

Contents

I. General provisions

Article 1 — Purpose
Article 2 — Scope
Article 3 — Definitions
Article 4 — Relationship with other documents

II. Principles and approval levels

Article 5 — Principles
Article 6 — Approval levels
Article 7 — RCCI opinion
Article 8 — Conflict of interest, absence and deputising
Article 9 — Emergency

III. Capital markets commitments

Article 10 — Commitment committee
Article 11 — Arranging and placement mandates
Article 12 — Firm underwriting and standby underwriting commitment
Article 13 — Participation in a syndicate
Article 14 — Monitoring of commitments until settlement

IV. Clients, counterparties, products and activities

Article 15 — High-risk onboarding
Article 16 — Issuers and professional counterparties
Article 17 — New products, new activities, new markets
Article 18 — Significant outsourcing

V. Client orders and own account

Article 19 — Client orders: what falls under the procedure
Article 20 — Exceptional orders
Article 21 — Own account and cash investment

VI. Payments and financial commitments

Article 22 — Principles
Article 23 — Commitments reserved to the Board

VII. Traceability, control and reporting

Article 24 — Approval file
Article 25 — Register and retention
Article 26 — Ex-post control by the RCCI
Article 27 — Reporting to the Board

VIII. Final provisions

Article 28 — Breaches
Article 29 — Review and entry into force

Appendices

Appendix “Approval matrix” — Approval matrix by type of transaction
Appendix “Commitment request” — Commitment request
Appendix “Commitment committee minutes” — Minutes of the commitment committee
Appendix “Pre-launch check” — Checklist before launching a new product or a new activity
Appendix “Commitments register” — Register of commitments and approvals

DRAFT

Title I — General provisions

Article 1 — Purpose

This policy states which transactions must be approved before Purpose Capital S.A. (the "Company") commits itself, by whom, and with what written evidence.

Its aim is simple: that no commitment exposing the Company, its own funds, its clients or its reputation is made by a single person, without review by a second person, and without the opinion of the compliance function where the stakes warrant it.

The Company has few Staff Members. The policy therefore organises a realistic four-eyes review: between two Staff Members for routine transactions, between the Chief Executive Officer and the RCCI for significant commitments, and with the Chairman of the Board of Directors or the Board itself above certain thresholds.

Article 2 — Scope

The policy applies to all Staff Members and senior managers of the Company, for:

- commitments made on the capital markets: arranging and placement mandates, firm underwriting and standby underwriting commitments, participation in a syndicate;
- onboarding of clients, issuers or counterparties presenting a high risk;
- the launch of new products, new activities, new markets and significant outsourcing;
- client orders falling outside the routine framework;
- the investment of the Company's own funds;
- the Company's payments and financial commitments, as regards principles only.

It does not replace the operational procedures: it sets the approval level and refers to those procedures for how transactions are carried out.

Article 3 — Definitions

- **Commitment**: any act that binds the Company towards a third party or exposes its own funds: signature of a contract or mandate letter, firm offer, acceptance of a syndicate share, payment, investment, guarantee.
- **Approval**: written consent, prior to the commitment, given by the competent person or body in accordance with Appendix “Approval matrix”. An archived business email or an electronic sign-off counts as writing; oral consent does not count as approval.
- **Four-eyes review**: the transaction is prepared by one person and checked or approved by another, who is not under the first person's authority for that transaction.
- **RCCI opinion**: written opinion of the Head of Compliance and Internal Control on regulatory compliance, anti-money laundering, conflicts of interest and the risks of the transaction.
- **Reference own funds**: the amount of the Company's own funds derived from the latest monthly calculation provided for by the Risk Management Policy (Article 13).
- **Commitment committee**: the meeting provided for in Article 10.

Article 4 — Relationship with other documents

This policy refers to the following documents without repeating them:

DRAFT

Subject	Reference document
Risk appetite, limits, new products, own funds and liquidity	Risk Management Policy
Prior opinion of the RCCI and control of operations carried out by the Chief Executive Officer	Internal Control and Compliance Charter (Articles 11 and 20)
Powers of the Board and its Chairman	Rules of Procedure of the Board of Directors
Delegations of powers and signature	Organisation and Delegation of Powers Charter (Charter of Organisation and Delegation of Authority)
Mandates, firm underwriting, syndicates	Contract templates Arrangement and Placement Mandate Agreement, Firm Underwriting and Standby Underwriting Agreement and the Placement Syndicate Agreement
Client onboarding, due diligence, PEPs	Client Onboarding Procedure (Client Onboarding and Know Your Customer (KYC) Procedure) and AML/CFT Policy (Anti-Money Laundering and Counter-Terrorist Financing Policy)
Conflicts of interest	Conflicts of Interest Management Policy
Outsourcing	Outsourcing Policy
Client orders	Order Reception, Transmission and Execution Procedure
Payments, accounting	Accounting Procedures Manual

In the event of a contradiction, the more demanding rule applies.

DRAFT

Title II — Principles and approval levels

Article 5 — Principles

1. **No commitment without prior approval at the right level.** An approval given after the commitment is not an approval: it is an incident, reported to the RCCI.
2. **Everything is in writing.** The request, the RCCI opinion and the decision are recorded and retained (Title VII).
3. **The RCCI gives an opinion before any significant commitment.** The RCCI rules on compliance, anti-money laundering and conflicts of interest. The RCCI does not decide in place of management, but the RCCI's opinion cannot be ignored (Article 7).
4. **Whoever proposes does not approve alone.** The person sponsoring the transaction can never be the only one to approve it.
5. **Escalation rather than improvisation.** Where there is doubt about the competent level, the higher level applies.
6. **Refusal is always possible.** Anyone called upon to approve may refuse or ask for further information. No commercial objective justifies overriding this; a refusal made in good faith exposes its author to no adverse measure.

Article 6 — Approval levels

Level	Who approves	For what, as a general rule
N1 — Operational four-eyes review	One Staff Member prepares, a second checks and approves	Routine transactions within the procedures
N2 — Chief Executive Officer after RCCI opinion	Chief Executive Officer, in light of the written opinion of the RCCI, in the commitment committee where applicable	Significant commitments within the limits approved by the Board
N3 — Prior consent of the Chairman of the Board	Chairman of the Board of Directors, on written request of the Chief Executive Officer accompanied by the RCCI opinion	Commitments approaching the limits, or where the Chief Executive Officer has a conflict of interest
N4 — Board of Directors	Board of Directors, by resolution	Commitments exceeding the limits or the powers of the Chief Executive Officer, or modifying the business plan

Appendix “Approval matrix” shows, for each type of transaction, the required level and the thresholds. Thresholds expressed as a percentage of own funds are assessed against the reference own funds and, for firm underwriting and guarantees, against the total outstanding commitments.

The Chairman of the Board does not manage the Company: the Chairman's consent at level N3 is a control, not a management decision. The Chairman reports on it to the Board at its next meeting.

Article 7 — RCCI opinion

The RCCI gives a written opinion within **2 business days** of receiving a complete file, using the commitment request (Appendix “Commitment request”). The opinion is: favourable, favourable subject to conditions, or unfavourable.

DRAFT

Where the Chief Executive Officer decides to commit despite an unfavourable opinion or without meeting the conditions set, the Chief Executive Officer gives written reasons for the decision and informs the Chairman of the Board of Directors within **2 business days**. For firm underwriting or a standby underwriting commitment, an unfavourable RCCI opinion raises the decision to level N4.

The RCCI does not approve a transaction that the RCCI sponsors. Nor may the RCCI be the second reviewer of a transaction that the RCCI will later control; in that case, the second review is given by another authorised Staff Member.

Article 8 — Conflict of interest, absence and deputising

A person who has a personal interest in the transaction does not approve it. That person declares it in accordance with the Conflicts of Interest Management Policy (Article 7).

Situation	Who approves instead
The Chief Executive Officer has a conflict of interest, or sponsors the transaction alone	Chairman of the Board of Directors (N3), or the Board if the N4 threshold is reached
A director or shareholder has an interest in the transaction	Board of Directors, the person concerned abstaining (Conflicts of Interest Management Policy, Article 12)
The Chief Executive Officer is absent	Deputy Chief Executive Officer if one has been appointed; failing that, the decision awaits the Chief Executive Officer's return, except in an emergency (Article 9)
The RCCI is absent or has a conflict	The Chief Executive Officer seeks the opinion of the independent review provider or, failing that, the prior consent of the Chairman of the Board

No delegation is granted to a Staff Member to approve a transaction that the Staff Member has prepared.

Article 9 — Emergency

An emergency removes no approval level; it speeds up the workflow:

- the RCCI opinion and the consent of the Chairman of the Board may be given by archived business email, within one business hour where the transaction so requires;
- the Board may meet by videoconference under the conditions of its rules of procedure (Internal Rules of the Board of Directors, Article 16) or, if the articles of association so permit, be consulted in writing;
- a transaction that cannot be approved in time is not carried out.

DRAFT

Title III — Capital markets commitments

Article 10 — Commitment committee

The commitment committee examines the commitments in Articles 11 to 13 before a decision is taken. It brings together:

- the **Chief Executive Officer**, who chairs it and decides;
- the **Head of Capital Markets**, who presents the file;
- the **RCCI**, who gives an opinion and does not take part in the decision.

The Head of Sales is invited where the capacity to place securities with clients is at stake. The committee may be held alongside the monthly risk committee (Risk Management Policy, Article 8), by videoconference, or by exchange of archived emails where the file is simple. It deliberates validly only in the presence of the Chief Executive Officer and the RCCI, or in light of the latter's written opinion.

Each meeting is recorded in **minutes** (Appendix “Commitment committee minutes”), signed by the Chief Executive Officer and the RCCI within **2 business days**, stating the file, the RCCI opinion, the decision, its conditions and, where applicable, the approval level then required.

While the position of Head of Capital Markets remains vacant, the sponsor of the file presents it; if that sponsor is the Chief Executive Officer, the decision falls to level N3.

Article 11 — Arranging and placement mandates

A best-efforts arranging or placement mandate (Arrangement and Placement Mandate Agreement) does not commit the Company's own funds, but it engages its liability and reputation towards investors and COSUMAF.

Before signing any mandate letter or agreement:

1. the Head of Capital Markets compiles the file: presentation of the issuer and the transaction, timetable, remuneration, identified risks;
2. the Operations Officer verifies the identity of the issuer, its senior managers and its beneficial owners in accordance with the Client Onboarding and Know Your Customer (KYC) Procedure;
3. the RCCI checks conflicts of interest (Conflicts of Interest Management Policy, Articles 8, 9 and 12), places the issuer on the watch list and opens the insider list;
4. the commitment committee examines the file and the Chief Executive Officer decides (N2).

The decision falls to the Board of Directors where the issuer is linked to a director, a senior manager or a shareholder of the Company (Conflicts of Interest Management Policy, Article 12), or where the issuer or the transaction presents a high risk within the meaning of the AML/CFT Policy.

The signed agreement complies with template Arrangement and Placement Mandate Agreement. Any departure from the template is subject to the prior opinion of the RCCI (Internal Control and Compliance Charter, Article 20).

DRAFT

Article 12 — Firm underwriting and standby underwriting commitment

Firm underwriting or a standby underwriting commitment (Firm Underwriting and Standby Underwriting Agreement) commits the Company's own funds: if the securities are not placed, the Company buys them. It is the heaviest commitment the Company can make.

Prerequisites, whatever the amount:

- a scenario of total non-placement is quantified: possible loss on the securities retained, effect on own funds and on cash;
- after this scenario, own funds remain above the alert threshold of the Risk Management Policy (Article 13), and available cash, once the commitment is paid, still covers at least six months of fixed costs (Article 14 of that policy), unless a bank financing line has been confirmed in writing;
- the commitment complies with the prudential standards set by COSUMAF;
- the information memorandum names the Company as guarantor;
- the Company is able to hold the securities in an own account separate from client accounts (Firm Underwriting and Standby Underwriting Agreement, Article 8).

Approval levels (total outstanding firm underwriting and guarantee commitments, as a percentage of reference own funds):

Outstanding after the transaction	Level
Up to 15%	N2 — Chief Executive Officer after the commitment committee and the RCCI opinion
More than 15% and up to 25%	N3 — in addition, prior written consent of the Chairman of the Board of Directors
More than 25%, or any firm underwriting of shares	N4 — prior resolution of the Board of Directors

The statement of the Board's consent provided for in Article 7 of the Firm Underwriting and Standby Underwriting Agreement is completed only on the basis of the decision obtained at the right level. The Head of Capital Markets monitors the commitment until it is settled (Article 14).

Article 13 — Participation in a syndicate

Where the Company is **lead manager** of a placement syndicate, the transaction follows Article 11, and Article 12 for any share of the guarantee.

Where the Company is a **member** of a syndicate led by another intermediary (Placement Syndicate Agreement):

- without a guarantee commitment, the Head of Capital Markets proposes and the Chief Executive Officer decides after the RCCI opinion, which covers the lead manager, the issuer, selling restrictions and conflicts of interest; the opinion may be given by email without a committee meeting;
- with a share of the guarantee, Article 12 applies to that share; as the members' commitments are several and not joint, only the Company's share is taken into account, unless otherwise stipulated, in which case the transaction is raised to level N4.

DRAFT

Article 14 — Monitoring of commitments until settlement

The Head of Capital Markets keeps up to date, for each outstanding commitment, the status of subscriptions and the amount guaranteed. The Head of Capital Markets alerts the Chief Executive Officer and the RCCI without delay when the placement suggests that the guarantee will be called.

Securities retained after a guarantee is called do not constitute a trading position. The commitment committee adopts a disposal plan within one month, presented to the Board at its next meeting. Client orders are always served before any disposal for own account (Firm Underwriting and Standby Underwriting Agreement, Article 8).

DRAFT

Title IV — Clients, counterparties, products and activities

Article 15 — High-risk onboarding

The rules for deciding on client onboarding are set by the Client Onboarding Procedure (Client Onboarding and Know Your Customer (KYC) Procedure, Article 12) and the AML/CFT Policy (Anti-Money Laundering and Counter-Terrorist Financing Policy, Articles 10, 12, 14 and 15). They are not repeated here. In summary:

- low or standard risk: decision at level N1, controlled by the RCCI within one month;
- high risk, PEP, complex structure (layered companies, trust, beneficial owner difficult to establish): decision of the Chief Executive Officer after the written opinion of the RCCI (N2);
- residence in a country subject to a FATF call for countermeasures: reasoned decision of the Chief Executive Officer after the RCCI opinion, and information of the Chairman of the Board within 5 business days.

This policy adds one rule: where the client is linked to the Chief Executive Officer, a director or a shareholder, the decision falls to level N4, the person concerned abstaining.

Article 16 — Issuers and professional counterparties

Before any commitment with an issuer, a co-arranger, a syndicate member, a settlement bank or another intermediary, the Operations Officer verifies its identity, its licence where applicable, its beneficial owners and the absence of sanctions. The RCCI gives an opinion where the counterparty is established outside CEMAC or presents a high risk. The decision to enter into the relationship follows the level of the intended transaction.

Article 17 — New products, new activities, new markets

Any product, service, distribution channel, client category, market or country in which the Company does not yet operate is treated as new, as is any significant change to an existing product.

No launch takes place without:

1. the risk analysis using the form in the Risk Management Policy (Appendix “New product approval”), prepared by the project sponsor;
2. the written opinion of the RCCI, stating in particular whether the licensed business plan is modified;
3. verification of the prerequisites in the checklist (Appendix “Pre-launch check”): procedures, contracts, systems, training, client information;
4. the decision of the Chief Executive Officer (N2) or, where the licensed business plan is modified or the activity commits own funds beyond the limits, of the Board of Directors (N4), which then authorises the application for prior approval to COSUMAF.

The Board is informed of any launch decided at level N2 at its next meeting. Six months after the launch, the RCCI makes a written review (incidents, complaints, compliance with the conditions set), presented to the risk committee.

DRAFT

Article 18 — Significant outsourcing

All outsourcing follows the Outsourcing Policy (Articles 8 to 10): qualification by the RCCI, risk analysis, due diligence on the service provider, written opinion of the RCCI, then decision of the Chief Executive Officer (N2) or, for a critical or important function, of the Board of Directors (N4). This policy adds nothing to it.

DRAFT

Title V — Client orders and own account

Article 19 — Client orders: what falls under the procedure

The checks prior to accepting an order (up-to-date file, no alert, consistency, suitability to the profile, cover) are set by the Order Reception, Transmission and Execution Procedure (Procedure for the Reception, Transmission and Execution of Orders, Articles 7 and 8). An order that passes these checks requires no further approval. This title deals only with exceptional orders.

Article 20 — Exceptional orders

Situation	Rule	Who approves	Evidence
Order of FCFA 50,000,000 or more, or exceeding the usual liquidity of the security	Second review before transmission: consistency with the profile and the source of funds, proposal to split the order	Head of Capital Markets, in addition to the Operations Officer (N1)	Sign-off on the order form or in the Guichet
Order of FCFA 200,000,000 or more, or liable to cause the client to cross a holding disclosure threshold	In addition, RCCI opinion before transmission	RCCI, then Head of Capital Markets	Written opinion in the order file
Order without full cover	**Prohibited.** No approval level can authorise it (Procedure for the Reception, Transmission and Execution of Orders, Article 8)	—	—
Order on an account under review: overdue file update, screening alert, enhanced examination in progress	Order suspended. Only a sell order or a withdrawal to the declared bank account may be authorised, if it protects the client from a loss	Chief Executive Officer after the written opinion of the RCCI (N2)	Commitment request (Appendix “Commitment request”)
Order on an account subject to a suspicious transaction report under analysis	The RCCI decides alone, respecting confidentiality (Anti-Money Laundering and Counter-Terrorist Financing Policy, Article 25)	RCCI	AML/CFT file
Order on a frozen account	**Prohibited** (Anti-Money Laundering and Counter-Terrorist Financing Policy, Article 22)	—	—
Order on a security on the restricted list or the watch list	Prior check	RCCI	Order register

Article 21 — Own account and cash investment

The Company carries out **no own-account transactions** other than the investment of its cash, in accordance with its risk appetite statement (Risk Management Policy, Appendix “Risk appetite and limits”).

Cash investments are limited to deposits with banks licensed in CEMAC and CEMAC government securities with a residual maturity of two years or less (Risk Management Policy, Article 14). Each investment or withdrawal is decided by the Chief Executive Officer and executed under dual signature in accordance with the Charter of Organisation and Delegation of Authority. Any other investment falls to the Board of Directors (N4).

DRAFT

Own-account orders are time-stamped, transmitted after pending client orders on the same security, and checked each month by the RCCI.

DRAFT

Title VI — Payments and financial commitments

Article 22 — Principles

The Company's payments and financial commitments follow the delegation and signature matrix of the Organisation and Delegation of Powers Charter (Charter of Organisation and Delegation of Authority) and the Accounting Procedures Manual. They comply with the following principles:

1. **Segregation**: the person who commits the expenditure, the person who checks and records it, and the person who signs the payment are not the same person; with limited staff, at least two people are involved in each payment.
2. **Dual signature** above the threshold set by the Charter of Organisation and Delegation of Authority; no payment is signed by its beneficiary.
3. **Supporting document**: no payment without an approved and recorded invoice or document.
4. **Bank details**: any new beneficiary, or any change of a beneficiary's bank account, is confirmed by a telephone call to a number already known before the first payment.
5. **Client funds**: they are never used to pay an expense of the Company; their movements follow the Segregation and Reconciliation of Client Assets Procedure.

Article 23 — Commitments reserved to the Board

The following always require a prior resolution of the Board of Directors (N4):

- any unbudgeted expenditure or commitment exceeding 5% of reference own funds (Risk Management Policy, Article 13);
- any surety, endorsement or guarantee given by the Company;
- any borrowing and any security interest over the Company's assets;
- any related-party agreement within the meaning of the OHADA Uniform Act on Commercial Companies and Economic Interest Groups;
- any transaction exceeding the powers delegated to the Chief Executive Officer (Internal Rules of the Board of Directors, Article 4).

DRAFT

Title VII — Traceability, control and reporting

Article 24 — Approval file

Any approval at levels N2 to N4 is based on a file comprising at least:

- the commitment request (Appendix “Commitment request”), dated and signed by the sponsor;
- the analysis documents: presentation of the transaction, know-your-customer checks on the client or counterparty, non-placement scenario for a guarantee, new product form where applicable;
- the written opinion of the RCCI;
- the decision at the required level: sign-off of the Chief Executive Officer, minutes of the commitment committee (Appendix “Commitment committee minutes”), written consent of the Chairman of the Board, extract from the Board minutes;
- the signed contract or deed, dated after the decision.

The file is compiled by the sponsor of the transaction and handed to the RCCI within 5 business days of signature.

Article 25 — Register and retention

The RCCI keeps the register of commitments and approvals (Appendix “Commitments register”). Each entry states the transaction, the amount, the required level, the RCCI opinion, the decision and its author, and the outcome.

The files and the register are retained for at least **ten years** from the settlement of the transaction, in accordance with the Archiving and Retention Procedure. They are provided to COSUMAF, the statutory auditors and the independent review provider on request.

Article 26 — Ex-post control by the RCCI

The RCCI includes the following controls in the annual control plan (Internal Control and Compliance Charter, Article 15):

- **each month**: reconciliation of signed contracts, significant payments and exceptional orders with the register, to ensure that no commitment was made without approval or at the wrong level;
- **each quarter**: review of a sample of approval files; follow-up of the conditions set in the RCCI's opinions;
- **whenever a guarantee is called**: review of the outcome and of the disposal plan.

Any commitment made without approval, or at the wrong level, is reported as an incident under the Risk Management Policy (Article 28) and brought to the attention of the Chairman of the Board within 5 business days.

Article 27 — Reporting to the Board

At each quarterly meeting, together with the risk dashboard, the Chief Executive Officer presents to the Board of Directors:

- the list of commitments approved at levels N2 and N3 since the previous meeting;
- the outstanding firm underwriting and guarantee commitments, in amount and as a percentage of own funds;

DRAFT

- the new products and activities launched;
- decisions taken despite an unfavourable RCCI opinion.

In the annual report to the Board, the RCCI presents the results of the controls, approval incidents and recommendations, and proposes, where appropriate, adjustments to the thresholds in Appendix “Approval matrix”.

DRAFT

Title VIII — Final provisions

Article 28 — Breaches

Making a commitment without the required approval, splitting a transaction to stay below a threshold, or backdating an approval constitutes misconduct exposing its author to the sanctions provided for in Article 49 of the Code of Conduct, without prejudice to COSUMAF sanctions.

The limits set by this policy are binding on Staff Members and the Chief Executive Officer in their relations with the Company, even though they are not enforceable against third parties.

Article 29 — Review and entry into force

The policy is reviewed at least once a year by the RCCI, with the Chief Executive Officer, and whenever there is a significant change in activities, own funds or regulation. The thresholds in Appendix “Approval matrix” are reviewed at the same time as the table of limits of the Risk Management Policy. Any amendment is approved by the Board of Directors.

This policy enters into force on the date of its adoption by the Board of Directors, as shown in the document control sheet.

DRAFT

APPENDIX "APPROVAL MATRIX" · TRANSACTION COMMITMENT AND APPROVAL POLICY · MATRIX

Approval matrix by type of transaction

Version 0.9
Internal

Completed by RCCI, on a proposal from the Chief Executive Officer **Frequency** Approved by the Board with the policy, reviewed annually with the table of limits

Kept by RCCI · minutes of the Board of Directors

Levels: **N1** operational four-eyes review · **N2** Chief Executive Officer after written RCCI opinion · **N3** prior written consent of the Chairman of the Board of Directors · **N4** prior resolution of the Board of Directors. OF = reference own funds. Thresholds marked "to be confirmed" are proposals to be set by the Board.

No.	Transaction	Sponsor	RCCI opinion	Standard level	Threshold for the next level	Evidence retained	Article
1	Best-efforts arranging or placement mandate (Arrangement and Placement Mandate Agreement)	Head of Capital Markets	Yes (conflicts, AML/CFT, issuer)	N2 in commitment committee	N4 if the issuer is linked to a director, a senior manager or a shareholder, or presents a high risk	Appendix "Commitment request" · minutes (Appendix "Commitment committee minutes") · agreement	11
2	Standby underwriting commitment or firm underwriting of bonds or government securities (Firm Underwriting and Standby Underwriting Agreement)	Head of Capital Markets	Yes; unfavourable opinion = N4	N2 if outstanding ≤ 15% of OF (to be confirmed)	N3 from 15% to 25% of OF; N4 above 25% (to be confirmed)	Appendix "Commitment request" · non-placement scenario · minutes · consent of the Chairman or the Board	12
3	Firm underwriting of shares	Head of Capital Markets	Yes	N4 whatever the amount (to be confirmed)	—	Board resolution	12
4	Lead manager of a placement syndicate	Head of Capital Markets	Yes	As row 1; row 2 for any share of the guarantee	As rows 1 and 2	As rows 1 and 2	13
5	Syndicate member without guarantee (Placement Syndicate Agreement)	Head of Capital Markets	Yes, may be by email	N2	N4 if commitment is joint with the other members	Appendix "Commitment request" · RCCI opinion · agreement	13
6	Disposal plan for securities retained after a guarantee is called	Head of Capital Markets	Yes	N2 in commitment committee, within one month	Board informed at the next meeting	Minutes	14

DRAFT

No.	Transaction	Sponsor	RCCI opinion	Standard level	Threshold for the next level	Evidence retained	Article
7	Onboarding: low or standard risk client	Desk	Control within one month (standard)	N1	—	Review form (Client Onboarding and Know Your Customer (KYC) Procedure)	15
8	Onboarding: high risk, PEP, complex structure	Desk	Yes	N2	N3 if client linked to the Chief Executive Officer, a director or a shareholder	Approval form (Anti-Money Laundering and Counter-Terrorist Financing Policy, Appendix "High-risk approval")	15
9	Client resident in a country subject to a FATF call for countermeasures	Desk	Yes	N2 with reasons	Chairman of the Board informed within 5 business days	Approval form	15
10	Issuer or professional counterparty	Head of Capital Markets	If outside CEMAC or high risk	Level of the intended transaction	—	Counterparty due diligence file	16
11	New product, activity, channel, market	Project sponsor	Yes	N2; Board informed	N4 if the licensed business plan is modified or own funds limits are exceeded	Form Risk Management Policy Appendix "New product approval" · Appendix "Incident report form" · 6-month review	17
12	Outsourcing	Contract manager	Yes	N2	N4 if critical or important function	Outsourcing Policy file	18
13	Client order ≥ FCFA 50,000,000 or exceeding the usual liquidity of the security (to be confirmed)	Desk	No	Enhanced N1: sign-off by the Head of Capital Markets	Row 14	Sign-off on the order	20
14	Client order ≥ FCFA 200,000,000 or crossing of a disclosure threshold (to be confirmed)	Desk	Yes, before transmission	Enhanced N1 + RCCI opinion	—	Opinion in the order file	20
15	Sell or withdrawal order on an account under review	Desk	Yes	N2	—	Appendix "Commitment request"	20
16	Order without full cover; order on a frozen account	—	—	**Prohibited**	—	—	20

DRAFT

No.	Transaction	Sponsor	RCCI opinion	Standard level	Threshold for the next level	Evidence retained	Article
17	Authorised cash investment (CEMAC deposits, government securities ≤ 2 years)	Chief Executive Officer	No	N1: decision of the Chief Executive Officer and dual signature	N4 for any other investment	Signed investment instruction	21
18	Routine payment	As per the Charter of Organisation and Delegation of Authority	No	N1: at least two people; dual signature above the Charter of Organisation and Delegation of Authority threshold	As per the Charter of Organisation and Delegation of Authority	Supporting document · payment order	22
19	Unbudgeted expenditure > 5% of OF; surety, endorsement, guarantee; borrowing; related-party agreement	Chief Executive Officer	Yes	N4	—	Board resolution	23

DRAFT

APPENDIX "COMMITMENT REQUEST" · TRANSACTION COMMITMENT AND APPROVAL POLICY · FORM

Commitment request

Version 0.9
Internal

Completed by Transaction sponsor, then RCCI and approver **Frequency** Before any commitment at levels N2 to N4

Kept by RCCI (approval file) · ten years

REGISTER NO. _____ SPONSOR · POSITION _____ DATE OF REQUEST _____

Type: ☐ Arranging or placement mandate ☐ Standby underwriting commitment ☐ Firm underwriting ☐ Syndicate (☐ lead manager ☐ member) ☐ Exceptional order ☐ Other

Counterparty (issuer, client, lead manager)	
Description of the transaction and timetable	
Amount of the transaction · maximum commitment of the Company	
Total outstanding after the transaction, as % of reference own funds	
Expected remuneration	
Non-placement scenario: possible loss, own funds and cash after the guarantee is called	
Counterparty due diligence: risk level, PEP, sanctions	
Conflicts of interest identified	
Required approval level (Appendix "Approval matrix")	☐ N2 ☐ N3 ☐ N4
Attachments	

DRAFT

Sponsor's signature

RCCI OPINION (WITHIN 2 BUSINESS DAYS)

☐ Favourable ☐ Favourable subject to conditions ☐ Unfavourable

Points checked: ☐ regulatory compliance ☐ AML/CFT and sanctions ☐ conflicts of interest ☐ own funds and liquidity limits ☐ watch and insider lists

CONDITIONS OR REASONS

DATE · SIGN-OFF

DECISION

☐ Approved ☐ Approved subject to conditions ☐ Refused ☐ Referred to the higher level

By: ☐ Chief Executive Officer (N2) ☐ Chairman of the Board of Directors (N3) ☐ Board of Directors (N4), meeting of _____

☐ Decision contrary to the RCCI opinion: written reasons attached and Chairman of the Board informed on _____

CONDITIONS

DATE · SIGNATURE

DRAFT

APPENDIX "COMMITMENT COMMITTEE MINUTES" · TRANSACTION COMMITMENT AND APPROVAL POLICY · TEMPLATE

Minutes of the commitment committee

Version 0.9
Internal

Completed by Head of Capital Markets, signed by the Chief Executive Officer and the RCCI

Frequency At each meeting, signed within 2 business days **Kept by** RCCI (approval file) · ten years

DATE · TIME _____

PLACE OR MEANS (MEETING, VIDEOCONFERENCE, EMAILS) _____

MINUTES NO. _____

Present: ☐ Chief Executive Officer (chair) ☐ Head of Capital Markets ☐ RCCI ☐ Head of Sales (invited) ☐ Other: _____

Declaration of conflicts of interest by those present: ☐ None ☐ Yes (job title, nature, abstention): _____

File examined (register no., counterparty, type)	
Presentation and main discussions	
Maximum commitment · outstanding as % of own funds	
RCCI opinion	☐ Favourable ☐ Favourable subject to conditions ☐ Unfavourable
Conditions set by the RCCI	
Decision of the Chief Executive Officer	☐ Approved ☐ Approved subject to conditions ☐ Refused ☐ Postponed
Further approval required	☐ None ☐ Consent of the Chairman of the Board of Directors (N3) ☐ Board of Directors (N4)
Actions to be taken (who · deadline)	

DRAFT

The Chief Executive Officer

The RCCI

DRAFT

APPENDIX "PRE-LAUNCH CHECK" · TRANSACTION COMMITMENT AND APPROVAL POLICY · CHECKLIST

Checklist before launching a new product or a new activity

Version 0.9
Internal

Completed by Project sponsor, checked by the RCCI **Frequency** Before any launch, then a review six months later

Kept by RCCI (compliance file), together with the form in Appendix "New product approval" of the Risk Management Policy

This checklist supplements the risk analysis form of the Risk Management Policy (Appendix "New product approval"). It checks that everything is ready before the launch. Any item not met blocks the launch, unless the decision-maker grants a reasoned exemption.

PROJECT _____ SPONSOR _____ PLANNED LAUNCH DATE _____

No.	Item to check	Yes · No · N/A	Evidence or comment
1	Risk analysis form (Risk Management Policy, Appendix "New product approval") completed and signed by the sponsor		
2	The product or activity falls within the licensed business plan; if not, prior approval of COSUMAF obtained		
3	Target clientele defined; clients to whom the product must not be offered identified		
4	Money laundering risks assessed and AML/CFT risk map updated		
5	Conflicts of interest analysed and map (Conflicts of Interest Management Policy, Appendix "Conflicts map") updated		
6	Written procedures created or updated and approved		
7	Contracts and documents provided to clients reviewed by the RCCI and, if necessary, by legal counsel		
8	Marketing communications approved (Marketing Communications Approval Procedure)		
9	Systems ready and tested: Guichet, accounting, registers, security, backups		
10	Any service providers dealt with under the Outsourcing Policy		
11	Staff Members concerned trained; required professional cards held		
12	Effect on own funds, liquidity and limits quantified		

DRAFT

No.	Item to check	Yes · No · N/A	Evidence or comment
13	Monitoring indicators defined and included in the risk dashboard		
14	Written opinion of the RCCI obtained		
15	Decision at the right level (Chief Executive Officer or Board of Directors); information of the Board scheduled		

SIX-MONTH REVIEW (RCCI)

☐ Conditions met ☐ Incidents or complaints to be dealt with ☐ Adjustments needed

FINDINGS AND RECOMMENDATIONS

DATE · SIGN-OFF · PRESENTATION TO THE RISK COMMITTEE

DRAFT

APPENDIX "COMMITMENTS REGISTER" · TRANSACTION COMMITMENT AND APPROVAL POLICY · REGISTER

Register of commitments and approvals

Version 0.9
Internal

Completed by RCCI **Frequency** One line per commitment request at levels N2 to N4, upon receipt **Kept by** RCCI · retained for at least ten years after settlement

No.	Date of request	Type of transaction	Counterparty	Maximum commitment (FCFA) · % of OF	Required level	RCCI opinion (date)	Decision (who · date)	Date of commitment	Outcome	Ex-post control

RCCI opinion: F = favourable · C = favourable subject to conditions · D = unfavourable. Ex-post control: compliant, or number of the incident reported (Risk Management Policy, Article 28).

DRAFT